

INSURANCE AND PENSIONS COMMISSION

OPERATIONS REPORT FOR FUNERAL ASSURERS

FOR THE FOURTH QUARTER ENDED 31 DECEMBER 2011

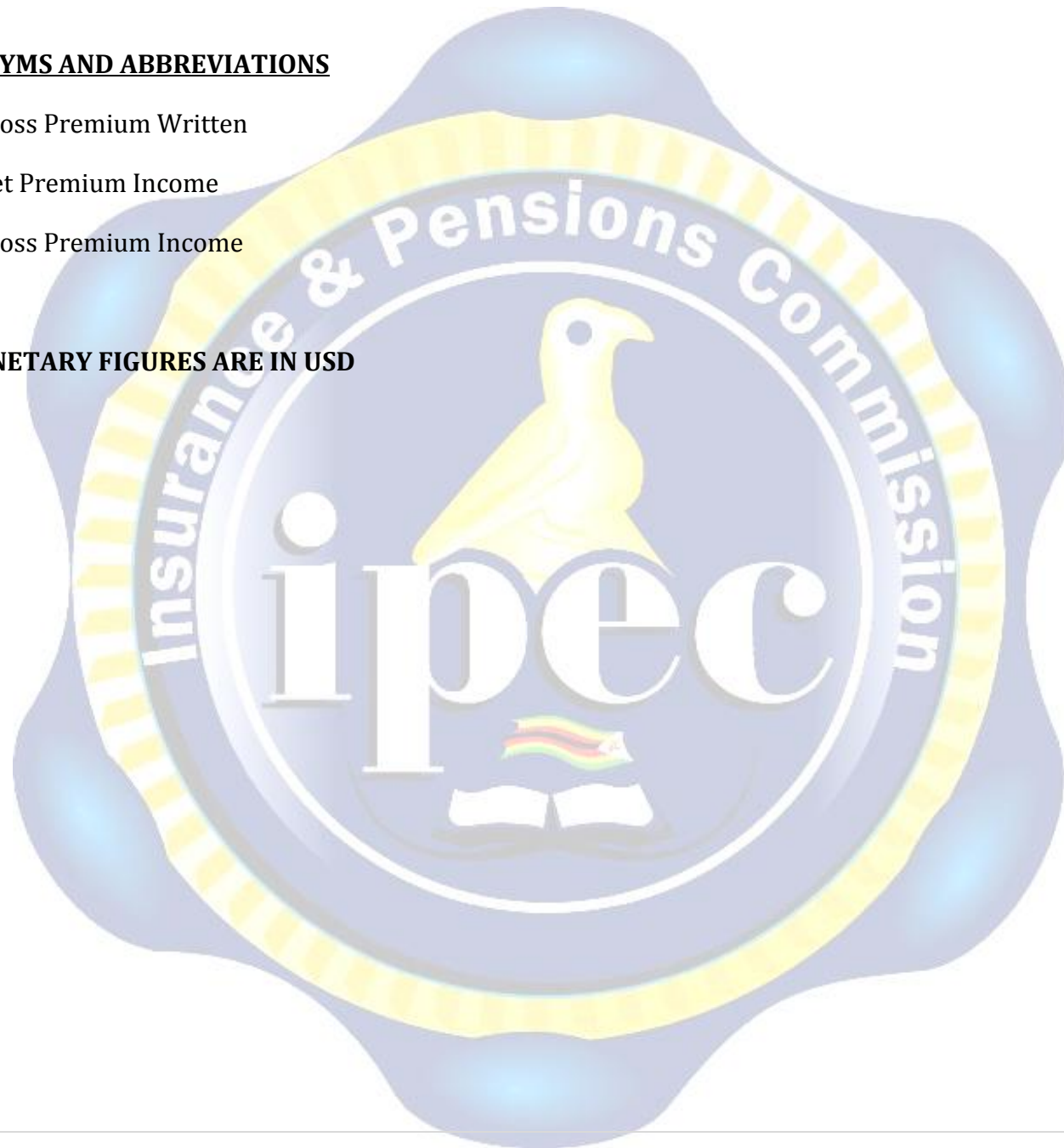
LIST OF ACRONYMS AND ABBREVIATIONS

GPW – Gross Premium Written

NPI – Net Premium Income

GPI – Gross Premium Income

NOTE: ALL MONETARY FIGURES ARE IN USD



1.0 Executive Summary

This report is based on the operational statistics of 10 funeral assurance companies.

Revenue streams for the funeral industry outgrew claim obligations by 12% reflecting a stable industry which is more likely to meet stakeholder expectations. Despite this scenario all funeral companies are further encouraged to spread their risks through reinsurance given the depressed investment climate obtaining as at the close of the reporting period.

In terms of new business, the funeral industry wrote \$20,6million as at year end 2011, up from 16,4million as at close of the previous reporting period with an almost even portfolio balance which limits overreliance on either individual or corporate business.

As at 31December 2011, funeral assurers realized a 32% increase in liabilities which out matched growth in actuarial reserves by 20%. In the absence of statutory prudential limits, players are required to maintain adequate actuarial reserves at all times in order to meet their future claim obligations.

For the quarter under review, the funeral industry reported total assets of \$36, 4million, a 16% growth from \$31,3million as at 30 September 2011. The statistics reveal that 70% of these assets were in other assets and investments with the balance being mainly properties and cash. Members are statutorily required to invest 7.5% of their total assets in prescribed assets as several alternative financial instruments have now been floated for subscription.

Given the prevailing investment outlook, funeral assurers are encouraged to optimally manage their costs. The Commission noted that the expense and combined ratios increased significantly thereby putting pressure on the technical profits of the industry although the industry is still in positive territory.

The Commission has noted with concern that players are continuously submitting curious agents population. We will be verifying these figures in our ongoing onsite inspections and penalties will be imposed, in terms of the law, against any funeral companies employing unregistered agents.

2.0 The Number of Funeral Assurance Companies

This report is based on the operations of 10 players for the year ended 31 December 2011.

3.0 Revenue Generated by Company

Funeral assurers reported growth of 49% in GWP terms from \$22,3million as at the last quarter to \$33,2million as at 31 December 2011. This sharp rise may be indicative of a public consciousness of the need to insure against the inevitable especially given the liquidity challenges the economy experienced.

Players realized other revenue of \$2,1million for the period under review, an 86% upturn from \$1,1million recorded in the prior quarter.

The above scenario contributed to cumulative revenue streams of \$35,3million as at 31 December 2011, a growth of 50% on 30 September 2011 reported figures. (See Table 1 below)

Table 1: Industry Revenue for the year ended 31 December 2011

	GPW Sept 11 (USD)	GPW Dec-11 (USD)	Growth (USD)	Growth (%)	Other Revenue Sept 11(USD)	Other Revenue Dec 11(USD)	Growth (USD)	Growth (%)	Total revenue Sept 11	cumulative revenue Dec 11	Growth (USD)	Growth (%)
Cell	1,003,654	1,119,471.00	115,817	12	99,710	141,604	41,894	42	1,103,364	1,261,075.00	157,711	14
Doves	2,490,520	3,462,952.00	972,432	39	61,198	91,738	30,540	50	2,551,718	3,554,690.00	967,403	39
Fidelity	1,152,154	1,703,748.00	551,594	48	463,680	394,228	(69,452)	(15)	1,615,834	2,097,976.00	482,142	30
First Funeral	2,108,650	2,853,804.00	745,154	35	13,050	48,948	35,898	275	2,121,700	2,902,752.00	781,052	37
Foundation	550,979	444,152	(106,827)	-19	167,523	367,457	199,934	119	718,502	811,609	93,107	13
Moonlight	5,174,912	7,211,844.00	2,036,932	39	194,412.48	702,873	508,460	262	5,369,324	7,914,717	2,545,393	47
Nyaradzo	9,508,439	14,750,257	5,241,818	55	55,127	67,424	12,297	22	9,563,566	14,817,681	5,254,115	55
Passion	183,907	575,750	391,843	213	76,473	290,530	214,057	280	260,380	866,280	605,900	233
Ruvimbo	142,658	209,239.00	66,581	47	0	0	0		142,658	209,239.00	66,581	47
Vineyard	419,166	825,984.00	406,818	97	18,666	41,387	22,721	122	437,832	1,305,203	867,371	198
Total	22,315,873	33,157,201	10,841,328	49	1,131,173	2,104,802	973,628	86	23,447,046	35,262,003	11,814,957	50

4.0 NEW BUSINESS MIX BY COMPANY

Table 2 below illustrates the new business mix scenario under review. Individual life business grew by 10% from \$9,4million recorded as at 30 September 2011 to close the year at \$10,3million. On the other hand group business grew by 48% to \$10,3million as at year end from \$7million reported in the previous quarter. Industry wide, this position showed strong portfolio balance which limits overreliance on a single business stream. IPEC continues to encourage members to introduce innovative but relevant products in an effort to improve market penetration.

Table 2: New Business Mix as at 31 December 2011

	No. Of Policies						Sum Assured(USD)									Annual Premiums					
	Individual Life			Group Business			Individual Life			Group Business			Individual Life			Group Life					
	Sep-11	Dec-11	Growth (%)	Sep-11	Dec-11	Growth (%)	Sep-11	Dec-11	Growth (%)	Sep-11	Dec-11	Growth (%)	Sep-11	Dec-11	Growth (%)	Sep-11	Dec-11	Growth (%)			
Cell	7,315	340	-95%	19	41	116%	12,398,850	408,000	-97%	812,501	2,460,000	203%	254,871	4,219	-98%	812,501	331,964	-59%			
Doves	16,835	17,035	1%	25,250	28,250	12%	2,525,850	2,555,250	1%	3,787,500	4,237,500	12%	442,911	619,350	40%	2,047,609	2,808,033	37%			
Fidelity	5,000	16,008	220%	4	8	100%	1,060,000	3,393,696	220%	25,000	60,768	143%	600,000	1,920,960	220%	19,968	30,336	52%			
First Funeral	55,445	42,820	-23%	0	0	0%	39,896,450	35,842,400	-10%	0	0	0%	7,453,668	6,621,429	-11%	0	0	0%			
Foundation	649	2836	337%	0	0	0%	162,250	1,418,000	774%	0	0	0%	100,838	410,521	307%	0	0	0%			
Moonlight	744	744	0%	17,213	17,213	0%	755,156	755,156	0%	18,382,303	18,382,303	0%	118,347	118,347	0%	1,977,481	1,977,481	0%			
Nyaradzo	190	583	207%	6649	0	-100%	370,500	800,820	116%	7,313,900	51,319,400	602%	31,752	101,472	220%	1,762,092	4,621,135	162%			
Passion	2,261	1,451	-36%	0	0	0%	271,320	174,120	-36%	0	0	0%	63,308	121,884	93%	0	0	0%			
Ruvimbo	133	273	105%	109	387	255%	140,000	208,970	49%	107,040	286,595	168%	17,130	39,468	130%	20,388	51,060	150%			
vineyard	2,157	2,233	4%	3,923	5,092	30%	670,580	781,550	17%	784,600	1,273,000	62%	310,608	331,308	7%	333,120	494,676	48%			
Total	90,729	84,323	-7%	53,167	50,991	-4%	58,250,956	46,337,962	-20%	31,212,844	78,019,566	150%	9,393,433	10,288,958	10%	6,973,159	10,314,685	48%			

5.0 REINSURANCE AND RETENTION LEVELS

Industry continued to retain all their businesses net to their balance sheets. As highlighted in ZAFA liaison meetings, members are encouraged to reinsure as a risk spread mechanism and to retain business relative to their capital sizes. Given meagre investment

incomes, this is vitally important in order to minimize the risk of failure to fully meet claims when they fall due. In the medium term, The Commission will implement risk based capital supervision which should address this anomaly. (See Table 3 Below)

Table 3: Reinsurance and retention levels for the year ended 31 December 2011

	GPW –Sept 11	NPI – Sept 11	Retention Ratio (%)	GPW Dec-11	NPW Dec-11	Retention Ratio (%)
Cell	1,003,654	1,003,654	100	1,119,471.00	1,119,471.00	100
Doves	2,490,520	2,490,520	100	3,462,952.00	3,462,952.00	100
Fidelity	1,152,154	1,152,154	100	1,703,748.00	1,703,748.00	100
First Funeral	2,108,650	2,108,650	100	2,853,804.00	2,853,804.00	100
Foundation	550,979	550,979	100	444,152	444,152	100
Moonlight	5,174,912	5,174,912	100	7,211,844.00	7,211,844.00	100
Nyaradzo	9,508,439	9,508,439	100	14,750,257	14,750,257	100
Passion	183,907	183,907	100	575,750	575,750	100
Ruvimbo	142,658	142,658	100	209,239.00	209,239.00	100
vineyard	419,166	419,166	100	825,984.00	825,984.00	100
Total	22,315,873	22,315,873	100	33,157,201	33,157,201	100

6.0 ISSUED CAPITAL, ACTUARIAL RESERVES AND LIABILITIES OF FUNERAL ASSURANCE COMPANIES

Liability figures for the industry grew by 32% from \$12,6million as at the last quarter to \$16,7million at year end whilst actuarial reserves grew by 12% to close the year at \$6,1million which may suggest under reserving.(See Table 4 below).The Commission requires funeral companies to maintain sufficient actuarial reserves to meet their future liabilities as and when they fall due as a critical prudential issue. Returned earnings took a 50% knock hopefully suggesting that players redeployed the money to fund critical business operations.

Table 4: Issued Capital, Actuarial Reserves, Earnings and Liabilities by Company

	Paid Up Capital (USD)			Retained Earnings (USD)			Actuarial Reserves(USD)			Liabilities		
	Sept 11	Dec -11	Growth (%)	Sept 11	Dec -11	Growth (%)	Sept 11	Dec -11	Growth (%)	Sept 11	Dec -11	Growth (%)
Cell	750,000	750,000	0	99,827	19,698	-80	142,257	164,298	15	84,096	196,896	134
Doves	1,000,000	1,000,000	0	0	0	0	2,174,684	2,174,684	-	1,025,231	972,599	5
Fidelity	350,000	350,000	0	254,038	27,337	-89	406,052	906,052	123	57,434	185,884	224
First Funeral	411,440	411,440	0	133,874	120,908	-10	603,886	790,789	31	487,202	606,362	24
Foundation	0	0	0	5,729	281,875	4820	0	133,000	100	187,476	180,051	-4
Moonlight	1,500,070	1,500,070	0	1,130,203	237,893	-79	1,450,551	1,450,551	0	1,487,246	1,884,576	27
Nyaradzo	350,000	350,000	0	519,137	120,791	-123	305,838	0	-	8,550,950	12,102,121	42
Passion	600	600	0	0	0	0	0	0	-	568,155	372,170	-34
Ruvimbo	59,998	59,998	0	4,500	19,637	336	358,313	358,313	-	0	0	0
Vineyard	313,978	313,978	0	74,990	157,762	84	0	103,600	100	171,875	181,623	6
Total	4,736,086	4,736,086	0	1,954,550	985,901	-50	5,441,581	6,081,287	12	12,619,665	16,682,282	32

7.0 TOTAL ASSET COMPOSITION BY CLASS

Stocks and Shares

Stock holding by funeral assurers, as at 31 December 2011, contributed 2% of total assets (\$999, 8million), a marginal contribution fall from \$ 997 million as at the end of the previous quarter. (See Table 5 below). This is attributable to falling stock values resulting partly from liquidity constraints.

Land and Buildings

Funeral assurers marginally increased their investment holdings in the property sector from \$7,2 million as at 30 September 2011 to \$7,5million as at the end of the current reporting period . Land accounted for 21% of total assets as at the end of the review period, a 2% fall from the prior quarter. This may be attributed to depressed liquidity in the economy leading to a largely inactive property market.

Cash

Cash and near-cash asset holdings by funeral companies doubled to 8% from the last reporting period to \$2,8million. Although holding liquid assets is essential to meet obligations, this may be caused by limited viable investment options given losses in equities and prohibitively high sums of money needed in property investments.

Other Assets and other investments

The balance of 70% or \$25,5million of total assets held by funeral companies was camouflaged in other assets and other investments. Members are further reminded to disclose the precise components of this category and our ongoing onsite inspections will probe this aspect in order to ensure full disclosure.

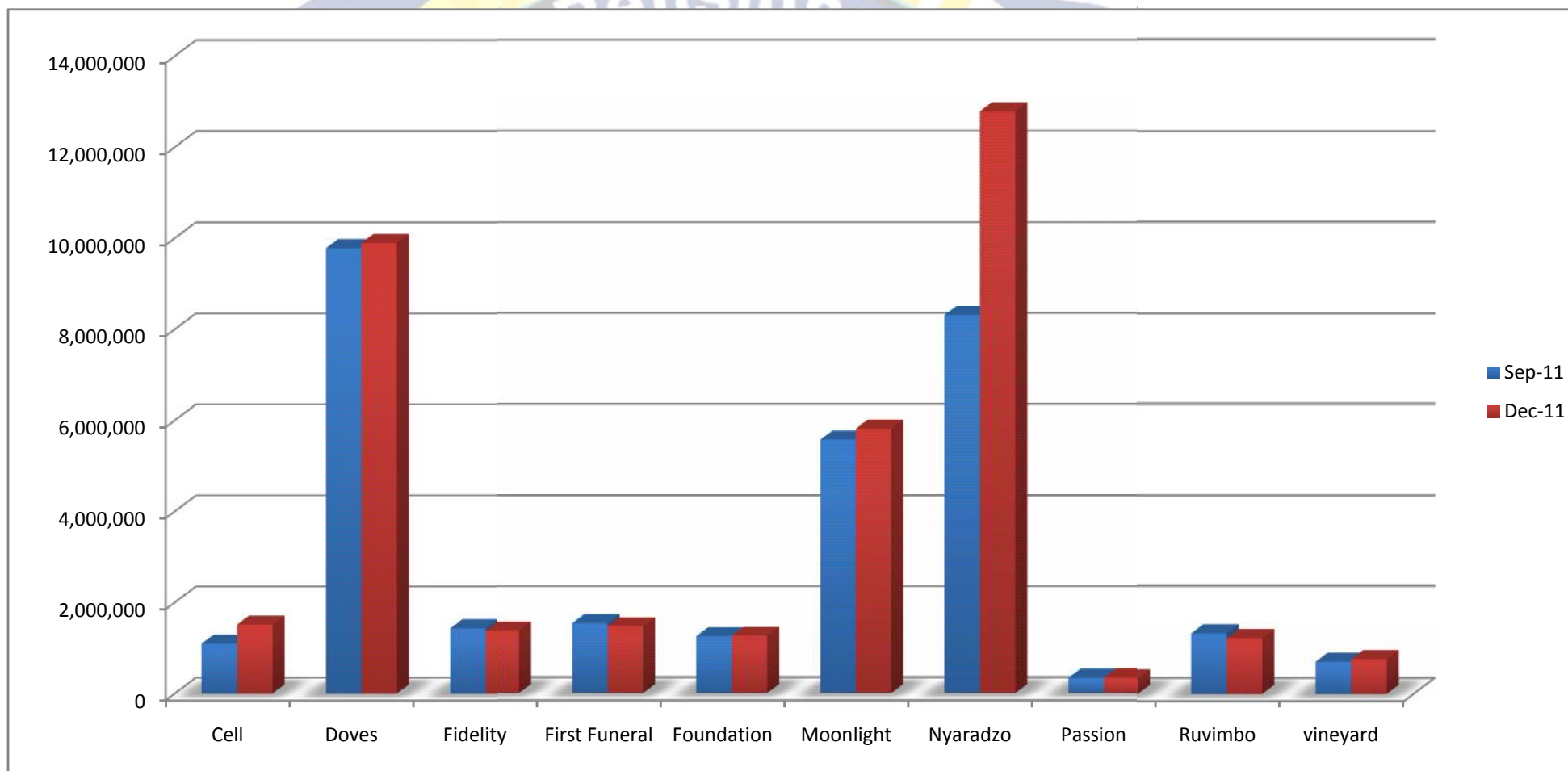
Way Forward - Prescribed Assets

Further to our Statutory requirements for funeral companies to invest 7.5% of their assets in prescribed assets, the Commission requires compliance in this regard as various Government paper has now been floated as advised in association meetings and the press. Failure to comply with this requirement shall attract penalties in terms of the law.

Table 5: Total Assets by Class as at 30 June and 30 September 2011

	Stock and Shares(USD)			Land & Buildings (USD)			Cash (USD)			Other Assets (USD)			Other Investments(USD)			Total Assets(USD)		
	11-Sep	11-Dec	%	11-Sep	11-Dec	%	11-Sep	11-Dec	%	11-Sep	11-Dec	%	11-Sep	11-Dec	%	11-Sep	11-Dec	%
Cell	15,735	14,194	-10	0	0	0	15,341	421,224	2646	325,444	301,309	7.00	737,016	775,572	5.2314	1,093,536	1,512,299	38.3
Doves	62,119	60,823	2.08632	1,267,650	1,244,850	-2	97,569	79,027	-19	2,035,058	2,194,492	8	6,317,000	6,317,000	0	9,779,396	9,896,192	1.19
Fidelity	735,662	442,266	39.8819	30,246	286,865	848	85,988	180,363	110	298,363	15,545	-95	280,329	454,204	62.025	1,430,588	1,379,243	-3.6
First Funeral	10,690	14,690	-37.418	682,680	681,496	2	78,577	43,915	-44	310,670	261,503	-16	457,652	472,837	3.318	1,540,269	1,474,441	-4.3
Foundation	0	0	#DIV/0!	1,002,000	1,002,000	0	22,175	100,347	253	141,359	68,002	-52	80,856	83,607	3.4023	1,246,390	1,253,956	0.61
Moonlight	0	0	#DIV/0!	2,761,341	2,761,342	0	96,814	68,278	-29	2,629,405	2,834,111	8	80,510	143,121	77.768	5,568,070	5,806,852	4.29
Nyaradzo	164,998	164,998	0	966,986	963,583	0	780,445	1,837,767	135	6,113,246	9,574,975	57	278,144	233,680	-15.99	8,303,819	12,775,003	53.8
Passion	0	0	#DIV/0!	0	0	0	0	0	0	332,911	336,391	1	0	0	#DIV/0!	332,911	336,391	1.05
Ruvimbo	5,000	5,000	0	300,000	300,000	0	2,270	1,129	-50	657,540	657,540	0	350,000	250,000	-28.57	1,314,810	1,213,669	-7.7
vineyard	2,953	2,953	0	238,914	238,914	0	48,397	18,416	-62	408,186	496,681	22	0	0	#DIV/0!	698,450	756,964	8.38
Total	997,157	704,924	(29)	7,249,817	7,479,050	3	1,227,576	2,750,466	124	13,252,182	16,740,549	26	8,581,507	8,730,021	1.7306	31,308,239	36,405,010	16.3

Figure 1: Total Assets by Class as at 30 June and 30 September 2011



8.0 KEY PERFORMANCE INDICATORS

Table 6 below illustrates the major performance indicators for the funeral industry for the year ended 31 December 2012.

Claims

The claims bill was \$5million or 22% of the total costs for the year ended 31 December 2011, a 35% increase from the previous reporting period. (See also Section 10 of this report).

Management Expenses

Operating expenses was the biggest cost centre for funeral companies. For the year ended 31 December 2011, the industry paid \$14,3million or 63% of the total costs (\$22,7million) towards management expenses, 104% worse than the prior quarter. This may be reversed via rationalizing staff costs, product distribution costs, and stationery among others.

Commissions

Commissions contributed a paltry 2% (\$3,4million) to total costs for the period under review. Members are reminded to employ only registered agents as a major compliance issue, failure of which penalties will be imposed in terms of the Insurance Act.

Expense Ratio

Expense ratio is the percentage of insurance premiums used to pay for an insurer's expenses, including overheads, marketing and commissions. The ratio is calculated as underwriting expense divided by net premiums earned. As at 31 December 2011, the expense ratio reportedly increased to 53%, up from 40% realized in the previous quarter. This may partly be explained by players' payment of the 13th cheque to employees for the Christmas holidays.

Combined Ratio

Table 6, below, shows that the combined ratios worsened from 59 % (September 2011) to 69% realized in the current reporting period. This shows a downturn in technical result due to rising operational costs though funeral companies are still in the positive territory. Members are therefore encouraged to tame costs considering limited investment returns.

Table 6: Key Performance Indicators by Company

	Net Premium Written(USD)			Claims(USD)			Commission (USD)			Management Expenses (USD)			Total Costs(USD)			Combined Ratio(%)		
	Sep-11	Dec-11	Growth(%)	Sep-11	Dec-11	Growth	Sep-11	Dec-11	Growth	Sep-11	Dec-11	Growth	Sep-11	Dec-11	Growth	Sep-11	Dec-11	Growth
Cell	1,003,654	1,119,471	12	37,370	43,808	(17%)	5,327	5,499	(3%)	172,888	525,408	(204%)	215,585	574,715	(167%)	21	51	(30)
Doves	2,490,520	3,462,952	39	605,211	928,046	(53%)	169,679	238,066	(40%)	985,291	1,321,934	(34%)	1,760,181	2,488,046	(41%)	72	72	0
Fidelity	1,152,154	1,703,748	48	58,789	80,862	(38%)	193,737	356,674	(84%)	21,482	923,764	(3217%)	274,008	1,361,300	(11%)	24	80	(56)
First Funeral	2,108,650	2,853,804	35	380,190	525,704	(38%)	267,157	363,589	(36%)	1,079,762	1,442,637	(34%)	1,727,109	2,331,930	(35%)	82	82	0
Foundation	550,979	444,152	(19)	7,642	55,133	(621%)	15,029	69,406	(362%)	110,823	404,996	(266%)	133,494	529,535	(297%)	24	119	(95)
Moonlight	5,174,912	7,211,844	39	599,743	986,576	(64%)	214,647	720,431	(23%)	1,399,241	3,965,801	(42%)	2,213,631	5,672,808	(156)	43	79	(36)
Nyaradzo	9,508,439	14,750,257	56	4,729,690	7,560,959	(60%)	1,091,267	1,626,288	(49%)	2,795,080	4,962,735	(78%)	8,616,037	14,149,982	(64%)	91	96	(5)
Passion	183,907	575,750	213	7,116	3,322	53%	0	0	0	229,807	251,473	(9%)	236,923	254,795	(8%)	129	44	85
Ruvimbo	142,658	209,239	47	14,474	20,721	(43%)	7,573	12,499	(65%)	1,982	195,655	(9772%)	24,029	228,875	(852%)	17	109	(92)
vineyard	419,166	825,984	97	49,292	77,226	(57%)	41,386	57,106	(38%)	181,669	259,430	(43%)	272,347	393,762	(45%)	65	48	17
Total	22,315,873	33,157,201	49	6,489,517	10,282,357	(58%)	2,005,802	3,449,558	(72%)	6,978,025	14,253,833	(104%)	15,473,344	27,985,748	(81)	69	84	(15)

9.0 Claims Statistics

The statistics indicate worsening mortality rates probably as a result of the AIDS pandemic and other epidemics implying members should deploy commensurate risk management measures. The industry loss ratio, however, slightly rose to 31% from 29% as reported as at the end of the previous quarter. (Refer to Table 6 and 7)

Death Claims

Death claims amounted to 96% or \$7.2million of total claims for the period under review. This was a 59% rise from reported figures as at 30 September 2011.

Paid Up Claims

The remaining 4% of the claims was in respect of paid up claims and refunds.

Table 7: Claims

Company Name	CLAIMS																				
	By Death			Paid up			By Disability			Premium Refunds			Annuities			Cash bonuses			Total Claims		
	Sep-11	Dec-11	%	Sep-11	Dec-11	(%)	Sep-11	Dec-11	%	Sep-11	Dec-11	%	Sep-11	Dec-11	(%)	Sep-11	Dec-11	(%)	Sept 11	Dec 11	Growth
Cell	37,370	43,808	17%	0	0	0%	0	0	0	0	0	0	0	0	0	0	0	0	37,370	43,808	17%
Doves	424,211	621,791	47%	181,000	306,255	69%	0	0	0	0	0	0	0	0	0	0	0	0	605,211	928,046	53%
Fidelity	58,789	80,862	38%	0	0	0%	0	0	0	0	0	0	0	0	0	0	0	0	58,789	80,862	38%
First Funeral	380,190	525,704	38%	0	0	0%	0	0	0	0	0	0	0	0	0	0	0	0	380,190	525,704	38%
Foundation	7,642	37,422	390%	0	225	0%	0	0	0	0	17,486	100	0	0	0	0	0	0	7,642	55,133	621%
Moonlight	599,743	986,577	64%	0	0	0%	0	0	0	0	0	0	0	0	0	0	0	0	599,743	986,577	64%
Nyaradzo	2,966,482	4,835,143	301%	3,381	4,417	31%	0	0	0	0	0	0	0	0	0	0	0	0	2,969,863	4,839,560	63%
Passion	7,116	3,322	-53%	0	0	0%	0	0	0	0	0	0	0	0	0	0	0	0	7,116	3,322	47%
Ruvimbo	14,474	20,721	43%	0	0	0%	0	0	0	0	0	0	0	0	0	0	0	0	14,474	20,721	43%
Vineyard	49,292	77,226	57%	0	0	0%	0	0	0	0	0	0	0	0	0	0	0	0	49,292	77,226	57%
Total	4,545,309	7,232,576	59%	184,381	310,897	69%	0	0	0	0	17486	100	0	0	0	0	0	0	4,729,690	7,560,959	60

10.0 AGENTS PER FUNERAL ASSURER

Members reported the same agents population as that reported as at 30 September 2011. (See Table 8 below). IPEC once again takes this opportunity to remind players that in terms of the Act, employment of unregistered agents is a serious offense which attracts penalties of up to \$5 000.00 per case. Our onsite inspections will cover this prudential issue.

Table 8: Agents Per Funeral Assurer

	Fully Registered Agents		Provisionally Registered Agents		Unregistered Agents		TOTALS
	Individual	Corporate	Individual	Corporate	Individual	Corporate	
Cell Funeral	1	-	-	-	-	-	-
Doves Funeral	0	-	0	-	-	-	0
First Funeral	0	-	-	-	-	-	0
Foundation	0	-	-	-	-	-	0
Fidelity Funeral	2	-	-	-	-	-	2
Moonlight	0	-	0	-	-	-	0
Nyaradzo Funeral	26	-	46	-	-	-	72
Passion Funeral	-	-	9	-	-	-	9
Ruvimbo Funeral	1	-	14	-	-	-	15
Vineyard Funeral	10	1	-	-	-	-	11
TOTALS	343	1	65	-	-	-	409

Conclusion

The report is indicative of a recovering industry and the Commission encourages players to maintain this upward trajectory through recommendations contained herein as well as statutory requirements as prescribed in the Act. IPEC wishes to thank players for their

cooperation for the year and encourages further co-operation in the coming year as we further restore stakeholders' confidence in the funeral assurance industry.

